MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
CAMBRIDGE ASSESSMENT INTERNATIONAL EDUCATION
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9570/02

Paper 2 Essays

October/November 2025

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

The number of marks is given in brackets [ ] at the end of each question or part question.

Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 Some firms charge a different price to different groups of consumers for the same product. These differences in price are not related to cost differences.

(a) Using examples, explain why a firm is able to charge a different price to different groups of consumers for the same product. [10]

(b) Discuss whether the gains outweigh the losses to consumers and producers from this type of pricing strategy. [15]

2 A large increase in the price of chicken feed resulted in the average retail price of eggs rising to S$3.25 per ten eggs in Singapore in November 2022. This was a 26% increase on the previous year. As eggs are a major ingredient in the production of many food products, this will have caused a large rise in the costs of production.

Source: Rene Salinas, Tridge, Singapore Chicken Egg Prices Climbed to Their Highest Level in Over Ten Years in Late 2022, January 2023

(a) Explain the likely impact of this rise in price of eggs on household expenditure and on consumer surplus. [10]

(b) Discuss the impact of a rise in egg prices on profits of a food producer and whether this is likely to cause the food producer to shut down. [15]

3 Asymmetric information is present in the market for many different products. There are several strategies that firms could undertake to avoid the adverse consequences of asymmetric information. These markets might also benefit from government intervention.

(a) Explain, with examples, how asymmetric information can lead to adverse selection and moral hazard. [10]

(b) Discuss whether it is necessary for governments to intervene in markets with asymmetric information. [15]

Section B

One or two of your three chosen questions must be from this section.

4 While economic theory suggests that free trade is beneficial, many large countries such as the United States and China are increasingly protecting their economies through the use of import tariffs and other protectionist measures.

(a) Explain how the removal of an import tariff by a country might redistribute welfare between its economic agents and improve resource allocation. [10]

(b) Discuss the benefits and unintended consequences of imposing protectionist measures and consider whether large economies should impose such measures. [15]

5 A key policy target for the Singapore government is inclusive growth. The Gini coefficient for household incomes in Singapore was 0.44 in 2021. The value of the Gini coefficient is reduced to 0.39 for household incomes after accounting for government transfers and tax.

Source: Key Household Income Trends 2021, Singapore Department of Statistics, Feb 2023

(a) Explain how an increase in the rate of income tax might affect actual and potential economic growth. [10]

(b) Discuss whether giving more generous transfer payments is the most appropriate policy measure to achieve inclusive growth in Singapore. [15]

6 The global pandemic has led to deficits in the balance of trade for many economies. These deficits may lead to a depreciation of the exchange rate of affected economies.

(a) Explain how a depreciation in a country's exchange rate might lead to demand-pull inflation and to cost-push inflation. [10]

(b) Discuss whether the depreciation of its exchange rate is the most appropriate policy to improve the balance of trade of an economy that has suffered as a result of the global pandemic. [15]

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